

What about Single Stocks?

When most people think about investing in the stock market, their minds immediately go to single stocks. I've talked to many people who think the terms *stock market* and *single stocks* are interchangeable. They're not. Single stocks are just one option in the overall spectrum of investments, and they typically carry way too much risk for the everyday millionaires we studied. In fact, not a single person in all the millionaires we interviewed mentioned single stock as a major contributor to becoming wealthy, and not one of the 10,000 millionaires we surveyed put single stock in their top three wealth-contributing factors.

When you buy stock in one company, you're basically placing a huge bet on one horse. You're buying a piece of ownership in that company, and your returns will rise or fall along with the success of that company. That can be great when the company is doing really well. I know plenty of people who have made a mint in single stocks. However, I know more people who have lost their money by betting everything on one company. In fact, I've coached many people who had all their money tied up in the stock of the company they worked for. Then, when the company went belly-up, these shocked men and women lost not only their jobs but also their entire life savings. It's tragic.

The worst of these stories came from a man I coached several years ago. He was a great guy with a huge heart. He had been with his company for twenty years, and he was a serious champion for them. The company offered a 401(k), and they encouraged their employees to put their entire 401(k) into the company's stock. It wasn't required, of course, but my friend got the impression that "good company people" should put all their eggs in the company basket. So, this well-intentioned employee put his entire retirement savings—more than a half-million dollars—into his company's stock. Can you guess the name of the company? Enron. This guy lost \$539,000 in one day—the same day he lost his job. He thought he was